

TABLE I
THE INDIAN ELECTRONIC COMPONENTS MARKET

		Market		Production		Exports		Imports
		2014-15	2015-16	2014-15	2015-16	2014-15	2015-16	2015-16
Electronic components	Amount (US\$ million)	16,189	18,857	6869	6933	4923	5395	17,322
	Growth rate (per cent)	15	16.3	15	16.3	10	8.5	—
Segment-wise:								
Active components	Amount (US\$ million)	2972.2	3239.7	111.1	118.8	596.0	607.9	3728.8
	Growth rate (per cent)	7	9	5	7	2	2	—
Passive components	Amount (US\$ million)	3958	4789	1931	2375	1354	1557	3971
	Growth rate (per cent)	20	21	22	23	16	15	—
Electro-mechanical components	Amount (US\$ million)	4642	5431	3065	3556	1895	2066	3940
	Growth rate (per cent)	16	17	15	15.5	10	9	—
Associated components	Amount (US\$ million)	4617	5402	760	885	1079	1165	5682
	Growth rate (per cent)	16	17	15	16.5	8	8	—

Source: ELCINA Study

TABLE II
ELECTRONIC COMPONENTS MANUFACTURING: ADVANTAGES AND CHALLENGES

Advantages	Challenges
- Strong local demand for consumer durable and mobile devices - Growth of niche market, specialised EMS players in automotive, strategic and medical electronics - Rising labour costs in western countries and now also in Asia - More outsourcing of manufacturing by Indian and global OEMs who are looking for a larger share of the Indian market	- High capital cost - Inefficient supply chain for raw materials - Non-availability of advanced manufacturing equipment - Unfair level playing due to high cost of finance as compared to other countries - Logistics inefficiencies and infrastructural bottlenecks - Lack of access to new technology and state-of-the-art capital equipment - Lack of availability of skilled labour - Capacity limitation - Inverted duty structure

have become almost extinct due to changes in technology. India had a strong industry for these components and we have not been able to upgrade to new technologies such as LED/LCD and solid-state storage devices to keep our market share.

Nearly 70 per cent demand of electronic components (Fig. 2) is fulfilled through imports. Increasing reliance on imports for sourcing

electronic components used in electronic products makes it crucial to enhance/strengthen India's electronics manufacturing capabilities.

Countries that account for a major portion of India's imports include China, Taiwan, South Korea, Japan and some European countries. Share of imports is higher for specialised and precision components like integrated circuits, chip

components, printed circuits boards and light-emitting diodes.

For components that do not require sophistication, India has established a near self-reliance. These components include cables, speakers, cathode ray tubes and so on. India has also been exporting these components to other countries (Table I).

Market drivers

Consumer durables and telecommunication (including mobile devices) account for a major demand for electronic components in India. This is followed by information technology and office automation

and automotive industries. Other application industries like industrial electronics, medical electronics, strategic electronics and lighting industry contribute to the balance of the market. Industries like lighting and strategic electronics are expected to witness substantial growth in the near future (Fig. 3).

Market trends

The electronics industry is going through an exciting phase with

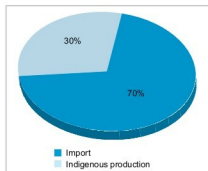


Fig. 2: Demand versus supply scenario (Source: ELCINA study)